

POLITICAL OVERSIGHT AND PUBLIC CONTRACTOR E&S BEHAVIOR

FIRS 2026 Conference

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May 28th, 2026

What They Have in Common? Major Government Contractors

Corporate Incidents

Feb 2021 — McKinsey



NATIONAL

McKinsey & Company to pay \$650 million for role in opioid crisis

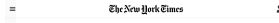
DECEMBER 13, 2024 · 3:40 PM ET

Brian Mann



\$573M settlement with 47 states for advising Purdue Pharma to “turbocharge” OxyContin sales.
Federal contracts continued at HHS, DoD, VA, Treasury.

Apr 2010 — BP



BP to Pay \$18.7 Billion for Deepwater Horizon Oil Spill

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The Deepwater Horizon oil rig burned in the Gulf of Mexico in April 2010. Gerald Horner/Associated Press

Deepwater Horizon: 11 deaths, largest marine oil spill in U.S. history. BP was DoD’s largest fuel supplier; suspended from new federal contracts
Nov 2012 – Mar 2014.

2018–19 — Boeing



Trump Administration LIVE War in the Middle East 9m ago Trump's Physical Exam Justice Department's Ten

Boeing Strikes Deal to Avoid Criminal Responsibility for 737 Max Crashes

A deal between the plane maker and the Justice Department, which was opposed by some of the families of those who died in the crashes, includes paying millions into a victims' fund.

Listen · 4:26 min

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Demonstrators, including some whose relatives died in crashes of Boeing's 737 Max planes, drew attention during a Senate hearing last June about Boeing's safety culture. Eric Lipton/The New York Times

737 MAX crashes: 346 deaths (Lion Air, Ethiopian Airlines). Worldwide FAA grounding; \$2.5B DOJ settlement. KC-46, F-15EX, P-8 awards continued.

>> **Three top federal contractors. Major E&S incidents. What can the gov't do?**

The Quietest Big Stick

The federal government is the largest commercial counterparty in the U.S. economy

>> **Government procurement dwarfs other potential monetary levers.**

Lever (FY 2024)	Amount
SEC monetary sanctions	\$8.2 B
EPA penalties + commitments	\$6.7 B
DOJ False Claims Act recoveries	\$2.9 B
Total	\$17.8 B

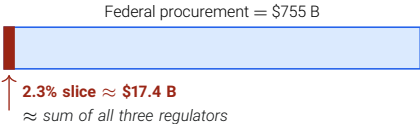
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Federal procurement obligations	\$755.0 B

A 2.3% shift in procurement equals every regulator above



Perspective on the Paper

Where does “government-as-customer” sit on the spectrum of E&S discipline?

>> **Does federal procurement discipline contractor E&S misconduct, and does the strength of that discipline depend on the political principal overseeing each contracting agency?**

Numerous ways to discipline corporate E&S misconduct:

- (Regulation) Government as regulator — EPA fines, OSHA citations, DOJ settlements, SEC sanctions
- (Activism) Shareholder proposals, proxy fights, divestment campaigns
- (ESG Funds) Delegation of investor preferences — equity allocation, screening
- (Banks & Credit) Lenders reduce access to capital after incidents
- (Private Customers) B2B buyers cut off or shrink orders to non-compliant suppliers
- (Government as Customer) Procurement officers quietly shrink contracts to firms with E&S incidents ← **This Paper!**
- (Workers & Consumers) Strikes, boycotts, reputational backlash
- (Media & NGOs) Investigative reporting, RepRisk-style monitoring

What the Paper Asks

Does federal procurement discipline contractor E&S misconduct

Datasets and Classifications:

- ~**1.5M federal contracts** (FPDS-NG, 2008–2020, \$383B; publicly-listed contractors).
- **E&S incidents** from **RepRisk**, scored Severity 1 (mild) to 3 (severe).
- **Chair's political preferences** — voting scorecards for the House Appropriations Subcommittee chair that funds each agency:
 - **LCV** — League of Conservation Voters (environmental scorecard).
 - **AFL-CIO** — labor-union voting scorecard.

Main set of tests:

- **H1** — Post-incident contract amount (does discipline exist?).
- **H2** — Severity-3 $\times$ chair PC1 (does political oversight scale it?).
- **H3** — Firm's future incidents and mid-execution modifications (real effects?).

What the Paper Finds (Among Many Things)

Three hypotheses, two readings each

Hypothesis	Outcome	Plain-English reading
H1 (Discipline)	Contract amount post Severity-3	~1 in 9 follow-on dollars disappears
	Competed vs. sole-source	Effect runs only through the competed door
H2 (Oversight scales it)	Severity-3 $\times$ chair PC1	~5–7 $\times$ bigger cut where the chair cares
	Where it bites	Services, cost-plus, differentiated – not commodities
H3 (Real effects)	Future E&S incidents, $t+1-t+3$	High-oversight-tilted firms reoffend less
	Contract modifications	More friction for non-improvers; none for improvers

>> **Procurement disciplines E&S misconduct – oversight scales it, and firms respond.**

My View of the Research, Literature

Where this paper sits and what it contributes

1. Customer-driven discipline of supplier E&S behavior

- **Gantchev, Goldman & Zhang (2026)** – Evidence that the *government as customer* disciplines E&S misconduct.
- Bisetti, She & Žaldokas (2026) – private corporate customers reshape supplier E&S after media-covered incidents.
- Schiller (2018); Dai, Liang & Ng (2021) – supplier-customer ESG transmission.
- Flammer (2018); Brogaard, Denes & Duchin (2024); Chen et al. (2025) – good E&S helps win government contracts (the converse question).
- ...

2. Political economy of public procurement

- **Gantchev, Goldman & Zhang (2026)** – Appropriations chair preferences move agency contracting choices.
- Brogaard, Denes & Duchin (2021) – political influence in contract renegotiation.
- Cohen, Coval & Malloy (2011); Goldman, Rocholl & So (2013) – political connections and contract receipt.
- Tahoun (2014); Liaukonytė & Žaldokas (2024) – politicians, scrutiny, and corporate behavior.
- ...

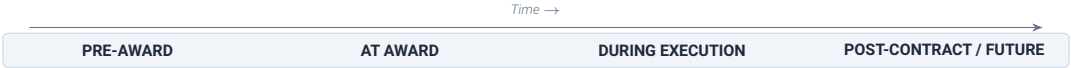
3. Relational contracting & the boundaries of the firm/buyer

- **Gantchev, Goldman & Zhang (2026)** – Discipline concentrates where contracts are hardest to write.
- Williamson (1985); Joskow (1987); Baker, Gibbons & Murphy (2002).
- Macchiavello & Morjaria (2015) – relational contracting in commodity supply.
- ...

>> **Discussion goal: sharpen identification, separate channels, separate E&S preference from partisanship.**

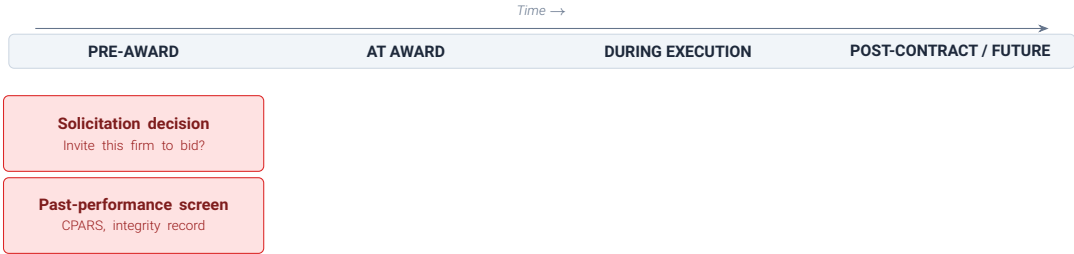
Comment 1 — Map the Full Menu of Government Adjustment Margins

The paper measures 2 of ~15 margins on the menu; the 12% is one cell



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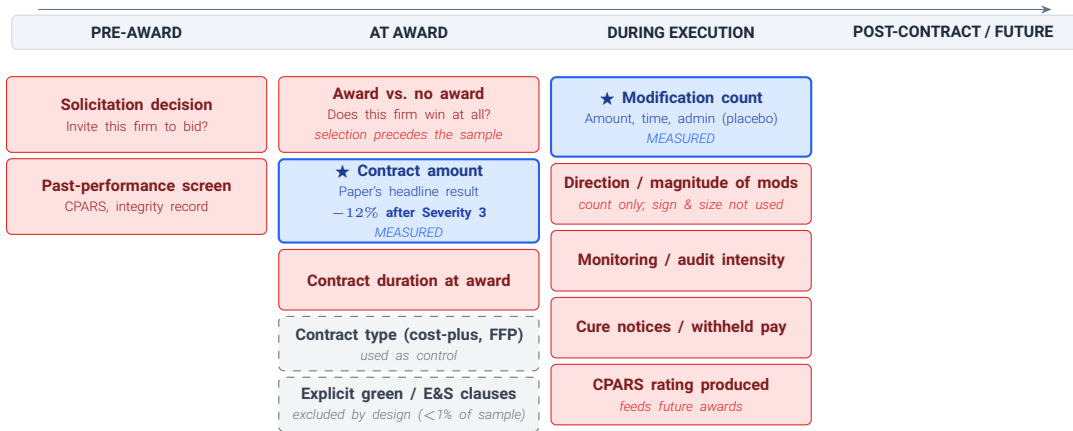
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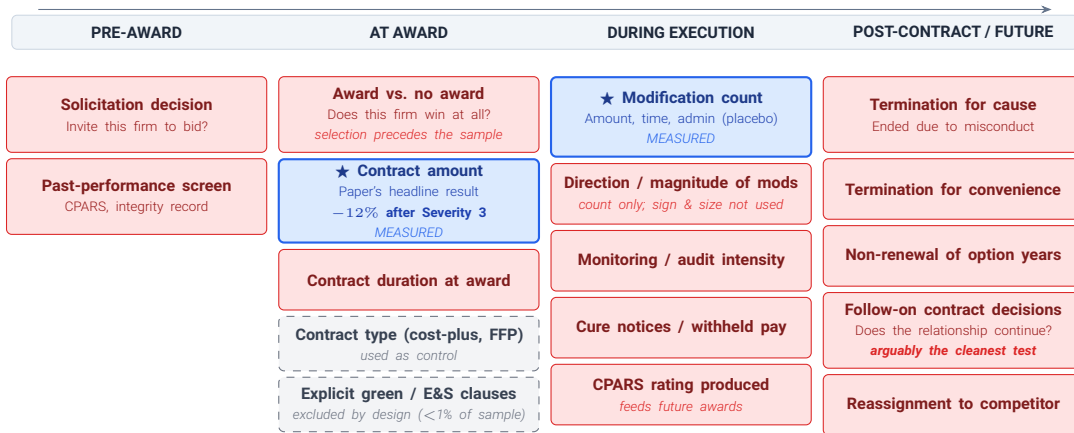
Time →



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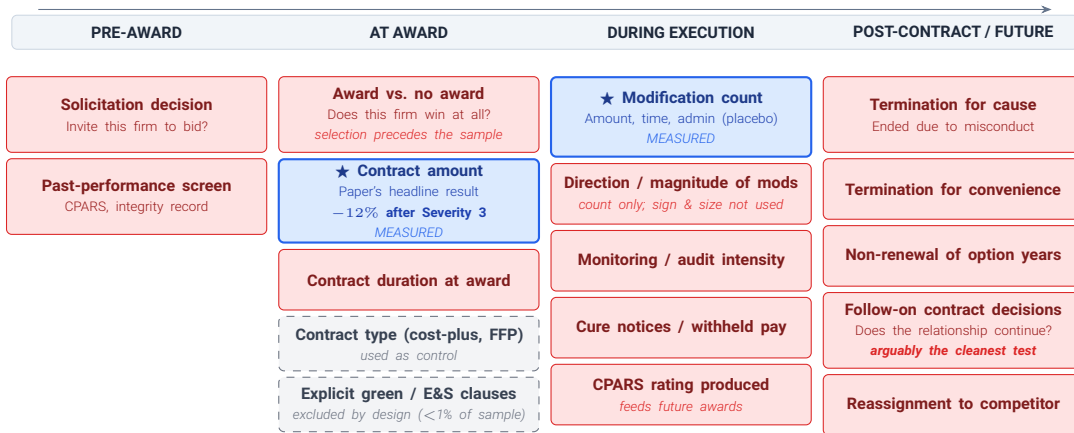
Time →



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Time →



>> *The 12% conditional-on-award is one cell of a much bigger action grid. Which margin is actually adjusting?*

Comment 1 (cont'd) – The Parallel Regulatory Track

Even setting the action grid aside, formal regulatory tools sit outside the paper's frame by construction



>> *How do we map the current findings with respect to the full menu of options?*

Comment 1 – Suggested Tests

Bring the missing margins onto the same paper

- **Suggestion 1 – The extensive margin (don't-award).**

- *Data:* SAM.gov debarment/suspension list + FPDS-NG award counts.
- *Decompose* post-incident behavior into: (i) debarment, (ii) silent non-award, (iii) award-smaller.
- *Why:* BP went on the extensive margin – paper currently sees a 0 because it conditions on award.

- **Suggestion 2 – The execution margin beyond modifications.**

- *Data:* CPARS ratings, stop-work orders, terminations-for-default (FPDS-NG codes), option-year non-exercise.
- *Why:* these are the levers that bind for repeat contractors.

- **Suggestion 3 – A unified “discipline intensity” index.**

- *Combine:* extensive (debarment/non-award) + intensive (\$ decline | award) + execution (mods/terms).
- *Test:* re-run the oversight interaction on the index.
- *Why:* tells whether oversight scales *total* discipline, or just reshuffles *which* margin gets pulled.

>> ***Together they map the full grid the paper's question really asks about.***

Comment 2 – Substitution Cuts the Other Way?

Customer discipline should be easiest on commodities, hardest on complex goods – the paper finds the opposite

Easiest to discipline

commodities, many suppliers

- Cookies, fuel, paper, janitorial.
- Many qualified suppliers; switching is cheap.
- Punish a bad one → buy from another next quarter.
- Threat to switch is *credible*.

Paper's finding (Table 5): null.

Hardest to discipline

complex goods, sole-source lock-in

- Aircraft, weapon systems, complex services.
- One or two qualified suppliers; billion-\$ switching costs.
- No credible Plan B.
- Threat to switch is *empty*.

Paper's finding (Table 5): strong effect.

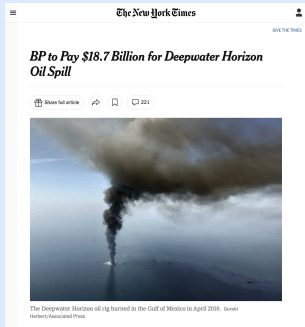
>> The paper finds the strongest discipline in the hardest-to-substitute cell, exactly where the buyer's threat to switch is empty. For discipline to bite, the buyer needs a stick. In the locked-in cell, there isn't one.

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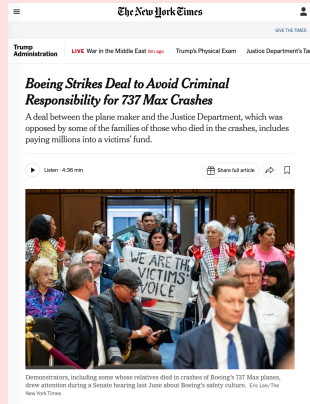
BP — fuel, many suppliers



- Largest U.S. marine oil spill.
- BP **suspended** from new federal contracts Nov 2012–Mar 2014.

Hardest to discipline

Boeing — aircraft, sole-source



- 737 MAX (2018–19): 346 deaths; worldwide FAA

Comment 2 – Substitution Cuts the Other Way?

Open Question of Why?

>> **Why does discipline concentrate in complex / cost-plus / differentiated cells?**

1. The paper's defense (Section 5) is a partial answer.

- If operational disruption hit every product line of an affected firm, both segments would fall.
- Commoditized segments *don't* fall in Table 5 $\Rightarrow$ *uniform* disruption is genuinely ruled out.

2. What's still open – product-specific disruption.

- Severity-3 incidents hit a firm's *core* business: engineering, certification, regulatory, litigation.
- Boeing post-MAX: aircraft engineering disrupted; office supplies unaffected. BP and McKinsey follow the same within-firm pattern.
- Within-firm cross-product disruption *looks identical* to Table 5's heterogeneity.

Comment 2 – Substitution Cuts the Other Way?

Four within-firm tests separate discipline from operational disruption

- **Suggestion 1 – Within-firm, across-products.**

- Firms with differentiated and commoditized lines (Honeywell, GE, 3M), compare post-incident response across lines.
- Operational disruption $\Rightarrow$ both lines hit; discipline $\Rightarrow$ asymmetric.

- **Suggestion 2 – Geographically distant incidents.**

- Does a Boeing labor incident in Renton predict smaller defense-aircraft awards in St. Louis?
- A remote-site hit is hard to reconcile with operational disruption $\Rightarrow$ discipline.

- **Suggestion 3 – Peer-firm contemporaneous control.**

- Within agency $\times$ product $\times$ year cells, net out using non-incident peers.
- Removes aggregate operational frictions that hit everyone at once.

- **Suggestion 4 – Federal vs. private sales.**

- Compare post-incident federal contracts to commercial sales, controlling for product mix.
- Federal falls more $\Rightarrow$ buyer-specific discipline; both fall together $\Rightarrow$ operational.

>> Any one of the tests helps clarify the buyer-specific discipline channel.

Comment 3 – Oversight or Partisanship

E&S Procurement Policy Flips With Party

May 2021 – switched ON



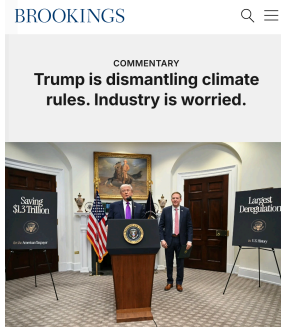
EO 14030 "Climate-Related Financial Risk" (May 20, 2021). Whole-of-government climate financial-risk strategy.

Nov 2022 – extended to procurement



DoD/GSA/NASA propose the Federal Supplier Climate Risks & Resilience Rule (Federal Register, Nov 14 2022). Major contractors (>\$50M) disclose Scope 1/2/3; set science-based targets.

Jan 2025 – switched OFF



Trump revokes EO 14030 day 1 via "Initial Rescissions of Harmful Executive Orders"; FAR rule withdrawn (Jan 2025). Both reversed within weeks of the new administration.

>> ***The E&S-procurement lever turns on and off with party control.***

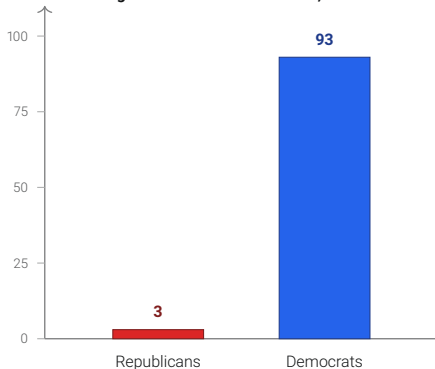
Comment 3 — Oversight or Partisanship?

The Scores Behind "Oversight" Are Nearly Pure Party

>> **"E&S-sensitive chair" and "Democratic chair" are nearly the same variable.**

(LCV and AFL-CIO scores are bimodal by party, with PC1 inheriting it)

Average LCV environmental score, 2024



LCV environmental scorecard:

- **2024:** Republicans avg **3%**; Democrats / Independents avg **93%**.
- **2018:** Senate D **95%** vs. R **8%**; House D **90%** vs. R **8%**.
- AFL-CIO scorecards show the same split.

So PC1 of LCV + AFL-CIO:

- Two near-collinear, near-bimodal inputs.
- PC1 essentially separates Democratic from Republican chairs.

Comment 3 – Oversight or Partisanship?

Is PC1 About E&S, or About Party?

Paper's reading – preferences

- Chairs who care about E&S push agencies to discipline harder.
- Interaction reflects *policy preferences* of the principal.

Alternative – party

- Democratic chairs simply run agencies differently than Republican ones.
- PC1 can't separate the two – LCV/AFL-CIO are near-pure party indicators.

Oversight score =	ln(initial amount)					
	PC1		Sum		I[Sum>1]	
	(1)	(2)	(3)	(4)	(5)	(6)
Severity 1	-0.009 (0.017)	-0.004 (0.019)	-0.009 (0.017)	-0.004 (0.018)	-0.009 (0.017)	-0.004 (0.019)
Severity 2	-0.008 (0.018)	-0.018 (0.015)	-0.008 (0.018)	-0.018 (0.015)	-0.008 (0.018)	-0.017 (0.015)
Severity 3	-0.085*** (0.031)	-0.095*** (0.027)	-0.022 (0.042)	-0.031 (0.039)	-0.036 (0.037)	-0.046 (0.033)
Severity 3 × Oversight score	-0.044** (0.017)	-0.045*** (0.016)	-0.078*** (0.029)	-0.079*** (0.028)	-0.146*** (0.052)	-0.147*** (0.049)
Controls	Y	Y	Y	Y	Y	Y
Firm × Agency	Y	Y	Y	Y	Y	Y
Contract award month	Y	Y	Y	Y	Y	Y
Agency × Year	Y	abs.	Y	abs.	Y	abs.
Product × Year	Y	abs.	Y	abs.	Y	abs.
Agency × Product × Year	-	Y	-	Y	-	Y
Observations	800764	796964	800764	796964	800764	796964

>> **Both are real findings – but not the same finding. “Political oversight” shifts to “partisan control of appropriations.”**

Comment 3 – Suggested Tests

Separating “E&S-sensitive principal” from “Democratic principal”

- **Suggestion 1 – Party-indicator horse race.**

Replace PC1 with a “Democratic chair” dummy in Table 4. If the interaction coefficient is similar in size, the finding is essentially a partisan effect. Report both side-by-side.

- **Suggestion 2 – Within-party residual variation.**

Binscatter PC1 against party affiliation; the residual should have visible mass. Then re-estimate the interaction using only the within-party residual. Shows “E&S sensitivity” has bite once partisanship is taken out.

- **Suggestion 3 – Election-driven event study** (*the headline test*).

Within-(firm × agency) variation around the 2010 and 2018 chamber flips. RD-in-time at chair transitions, plus a speed-of-response check (immediate vs. slow).

- **Suggestion 4 – Governance / accounting falsification.**

Re-run Table 4 on non-E&S incidents (governance, accounting fraud). A null pins the result to E&S specifically; a positive coefficient means high-PC1 chairs are generically “tough,” not E&S-specific.

>> *If the finding survives all four, the political-oversight framing lands. If not, the contribution shifts to “partisan control matters.”*

Comments for Author — Technical Revisions Worth Considering

Things I'd think through if I were the author

- **The headline that survives if the sharpening tests don't all land.** *"Federal contract amounts to firms with severe E&S incidents fall ~12% post-event, with the strongest declines at agencies overseen by pro-E&S House Appropriations chairs."* A real, citable contribution even before the mechanism is fully nailed down. Worth being explicit about the distance between the reduced-form result and the political-principal interpretation.
- **Publicly-listed-only sample.** The \$383B sample over 2008–2020 covers ~4% of total federal procurement (paper cites \$700B/yr at p. 2). The omitted ~96% (private contractors, set-asides, university recipients) is where many politically salient controversies live (immigration detention, environmental services). Necessary for Compustat controls, but worth flagging generalizability outside the data section.
- **Defense-excluded subsample.** DoD is $7 \times$ larger by dollar volume than the next biggest agency (Table 2). Reporting Table 3–7 with Defense excluded would show whether the result is broad-based or Defense-driven. Currently not reported.
- **Modern-DiD checklist.** Show Callaway–Sant'Anna and/or Sun–Abraham robustness alongside the staggered design; Goodman–Bacon decomposition; Borusyak–Jaravel–Spiess imputation. Standard referee box.
- **Endogenous regressor in Section 6 (Weighted oversight).** $Weighted\ oversight_{i,t}$ is the contract-value-weighted PC1 across the firm's agencies in year t . But Section 4 is the result that high-oversight agencies cut amounts more after Severity-3 — so $Weighted\ oversight_{i,t}$ moves mechanically with the agency-side reaction *before* any firm-side behavior change. Pre-trends at $t - 1$, $t - 2$ address pre-sorting, not contemporaneous reweighting. Try pre-incident fixed weights, or restrict to firm-agency pairs already active pre-incident.
- **Reverse causation in modifications (Table 7).** Non-improvers have more mods. Causation can run the other way: contracts that go badly $\Rightarrow$ more friction $\Rightarrow$ more reported incidents. The administrative-mod placebo helps; pre-trend in mods relative to next incident would seal it.
- **Cluster count / SE.** 17 House Appropriations subcommittees, ~15 in the chair-cycle, with extreme imbalance and shared subcommittees (GSA / Treasury / OPM in FSGG; Justice / Commerce / NASA in CJS). Effective cells far below 65. Wild-cluster bootstrap or chair-level randomization inference on the PC1 interaction (Table 4 col 1 $t \approx -2.6$) would prevent a referee complaint.
- **RepRisk classification drift.** Severity 3 share ranges from 0.50% (2013) to 24.43% (2009); Severity 2 from 22.7% to 75.9%. If RepRisk's threshold drifts in ways correlated with sectors, the oversight interaction could capture differential measurement. Robustness using continuous severity, monthly counts, or within-year ranks would help.
- **PC1 reporting.** PC1 SD = 1.40 in Table 1 implies LCV/AFL-CIO inputs are *standardized* (mean 0, SD 1) before PCA — not just rescaled to [0,1] as the text suggests (p. 12). Loadings and variance-explained should be reported for a measure the paper presents as a contribution.
- **Welfare / aggregate calculation.** Translate the -12% into a dollar-value of discipline ($\$ \text{ at stake} \times \text{Severity-3 firm share}$). Citation-magnet headline number, lets readers compare to SEC fines.

Comments for Author — Small Editing & Presentation Items

Cosmetic but worth fixing

- **Table 6 text vs. caption mismatch.** Text (p. 23): “ ~ 0.9 fewer *Severity 3* incidents over $t+1$ to $t+2$.” Table 6 caption (p. 37): dependent variable is the total incident count across *all* severity levels. The magnitudes are right; the “Severity 3” label is wrong and materially affects how readers interpret Contribution #4.
- **Sample period inconsistency.** Paper says 2008–2020 (p. 9), but AFL-CIO scores are missing for 2008, so PC1 and all oversight analyses (Tables 4–7) effectively run 2009–2020. Explains the gap between Table 1’s $N = 1,475,625$ (LCV) and $N = 1,351,107$ (PC1). Easy footnote.
- **“Over 1.5 million” phrasing.** Abstract and intro say “over 1.5 million,” Table 1 reports 1,475,625 — technically just below. “Approximately 1.5 million” (as p. 9 already uses) is the accurate wording.
- **PSC code typo.** Appendix A differentiated-product list reads “. . . 10–17, 19–20, **7**, 28–29, 36. . .”. The lone “7” mid-sequence looks like a stray output from the LLM classification; please verify.
- **Severity 2 anomaly in Table 3 Panel B col 8.** Severity 2 coefficient is $+0.026^{**}$ in non-competed, severity-disaggregated, agency-by-product-by-year FE. Under a uniform-discipline story, medium-severity firms should not be receiving *larger* non-competed contracts. Worth either explaining or testing.
- **Severity-3 examples in text.** The taxonomy is dense. A small box with 3–4 illustrative Severity-3 incidents (Boeing MAX, BP DWH, Wells Fargo accounts, 3M PFAS) would orient referees instantly.
- **Figure 1 pre-period bump.** The $t = -1$ coefficient has a small but visible bump — worth a footnote on whether this reflects anticipation (incident becomes public before the official RepRisk timestamp).
- **Figure 1 caption vs. text on FE.** Text (p. 15) says the dynamic spec uses agency-by-product-by-year FE; Figure 1 caption (p. 39) says agency $\times$ year and product $\times$ year separately. These are different models — please clarify which was estimated, ideally report both.
- **Terminology.** “Public contractor” reads as “publicly-traded firm contracting with the government” to a finance audience but as “government employee” to a public-economics audience. A one-line definition in the introduction would help.

Excited for This Paper!

Important question, big data, a portable new measure

>> ***Paper at the intersection of political economy, procurement, and corporate E&S behavior.***

- Leading evidence of the **government-as-customer** channel for E&S discipline.
- Great data work: **FPDS-NG + RepRisk + LCV/AFL-CIO + subcommittee mapping** in a single panel.
- **A portable new measure** (agency-level political E&S sensitivity) that I expect to see used widely.

**The *quietest big stick* has been swinging all along.
This paper shows us how hard, where, and by whose hand.**

